Dear Students

Welcome to the FA ACCY122 module!

To commence this learning journey at a meaningful starting point, **before our second session**

- ✓ Please read up (page 2) on following financial accounting terms**.**

  Asset - meaning, types and examples.
  Liability - meaning, types and examples.
  Owners Equity – meaning and examples.
  Revenue - meaning and examples.
  Expenses – meaning and examples.
  Profit - meaning

- ✓ Activity: Refer to the example of (AIN) AINow (see Moodle/ Course Content). Please calculate.
  a) profit earned by AIN during 2024.
  b) cash or bank balance of AIN as at 31 Dec 2024.

- ✓ Please be <u>punctual, well rested</u>, <u>attentive</u> and <u>engaged</u> (i.e. <u>free from distractions)</u> during the sessions. Get ready to contribute your views and answer questions.

- ✓ Bring your laptop and a smart phone to each session.

- ✓ For those with prior knowledge of accounting, be ready to learn new perspective(s).

  Best wishes
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"The illiterate of the 21st century will not be those who cannot read and write, but those who cannot learn, unlearn and relearn" - Alvin Toffler.

INVESTMENT IN BUSINESS		=	SOURCE OF FUNDS				
ASSETS			LIABILITIES			OWNERS EQUITY	
Meaning: Assets are economic resources, measurable in monetary terms, that are controlled by an entity as a result of past transactions or other past events from which economic benefits are expected in future.		=	Meaning: **Liabilities** are the future sacrifices of economic benefits, measurable in monetary terms, that an entity is presently obliged to make to other entities as a result of a past transaction or event.		+	Meaning: **Equity** is the residual claim of the owners on the assets of the entity after liabilities have paid out of its assets. A-L = OE	
TYPES			TYPES			TYPES	
Non Current Assets	Current Assets	=	Non Current Liabilities	Current Liabilities		Paid in Capital	Retained Profit.	Profit
Examples	Examples		Examples	Examples			
Plant, Vehicle, Land, Building, Equipment, Furniture etc.	Inventory / Stock Marketable securities Prepayment Receivables / Debtors Cash in bank Cash in hand etc.		Long term loan, Bond, Mortgage loan etc.	Trade payables / Creditors Accruals, Unearned revenue, Bank overdraft etc.		Share capital. Common stock	Undistributed past profits	Revenue (Expenses)

Revenue– Increases in an entity's wealth arising from the provision of services or sale of goods. Sales, service revenue, investment income etc.

Expenses– Decreases in an entity's wealth that is incurred in order to earn revenue. salary exp, advertising exp, rent exp etc.

Revenue – Expenses = Net Profit / Earnings / Income

(AIN) AINow is a start up which provides web development services to small scale enterprises in Singapore.

	Summary of Transactions for the year 2024.	
Ref.	Transaction description	$
1	Started business with check in the bank account.	25000
2	Purchased Non Current Asset (NCA) IT equipment for check.	15400
3	Purchased NCA on credit from Vendor.	6600
4	Depreciation expense on above NCA.	800
5	Purchased office supplies for check.	2100
6	Purchased office supplies on credit.	1700
7	Paid by check operating expense;	27900
8	Expenses incurred but unpaid. They will be paid next year.	3300
9	Expenses paid y check in advance for next year	1600
10	Check collection for services rendered.	36000
11	Services rendered on credit	11000
12	Check received from debtors / receivables.	8000
13	Paid by check to supplies creditors / payables.	5000
14	Paid by check to NCA creditors / payables/ vendor.	4500
15	Owner withdrew for personal use from bank.	1600
16	Supplies used / expense for the year was.	3200
17	Paid by check outside contract staff for services	4500
18	Transfer Net Profit to Retained Profit	TBC

Form	Sole proprietorship
Type	Service
Name	(AIN) AINow
Owner	Ms / Mr S Mart
Acc period	1.1.24 to 31.12.24

- ✓ Please calculate.
  c) profit earned by AIN during 2024.
  d) cash or bank balance of AIN as at 31 Dec 2024.